Hemnet AB (STO: HEM)

The first-mover's curse SELL

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- Long term outlook poses a rude awakening
- Sell First, Pay Later model appears defensive
- Continued high margin and cash flow conversion

ARPL continues to expand but is the party over

Hemnet's current market positioning may appear attractive, but the numbers and broader market reveal concerning cracks. Reported sales growth of 9.5% masks a troubling reality: ARPL (average revenue per listing) expansion of 28.1% compensated for a 13% LTM collapse in listings, revealing stagnant inventory and slowly emerging competitor pressure. Margins themselves remained relatively stable as expenses are highly correlated with inventory turnover via commissions to real estate agents. We downgrade to sell, primarily driven by our belief that:

1. Long-term market monopolization is unsustainable
2. Premium pricing tiers risk alienating cost-sensitive consumers and eroding loyalty
3. Sell First, Pay Later is a defensive strategy

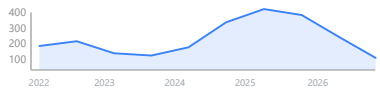
Our price target of **SEK 115 per share** takes into account a gradual loss in market share, shifts in consumer preferences over time, and macro headwinds. This implies approximately 11% downside from the current price SEK 130 per share and 46% downside to the consensus target of SEK 215 per share.

Top of the Mountain

It is challenging to imagine long-term sustained growth within Hemnet. We do not view our downgrade as a critique of management - we recognize Hemnet's efforts to build a strong internal infrastructure, agent relationships, and valuable data capabilities - but rather a reflection of reality. Having climbed the mountain to 90% market share, management faces an unappealing choice: defend an eroding summit, or risk capital climbing unfamiliar peaks. Management has chosen the former, pursuing defensive strategies like Sell First, Pay Later while returning excess cash through dividends and buybacks - an indirect admission that growth opportunities have evaporated.

Status Quo

Cap	12.81B	P/E 25	31.6x
EV	13.26B	P/E 26	20.5x
EV/S 25	11.2x	EV/S 26	7.82x
Float	83.34%	Yld 25	1.41%
Yld 26	1.56%	CCY	SEK



Financials

Fiscal Period	2023	2024	2025	2026 (E)	2027 (E)
Net sales	1,005	1,395	1,527	1,705	2,060
Change	12.99%	38.81%	9.48%	11.7%	20.78%
EBITDA	525.5	719.8	767.5	848	1,059
Change	17.27%	36.97%	6.63%	10.49%	24.85%
EBIT	448.2	633.8	673.8	756.5	983.4
Change	18.73%	41.41%	h6r.e31%	12.28%	29.98%
Interest Paid	-20.8	-26.7	-19.88	-16	-17.12
Earnings before Tax (EBT)	427.4	607.1	656.3	753.3	933
Change	15.3%	42.04%	8.1%	14.79%	23.85%
Net income	338.7	481.4	520.6	603.5	769.6
Change	15.28%	42.13%	8.14%	15.93%	27.51%
Announcement Date	1/31/24	1/31/25	1/29/26	-	-

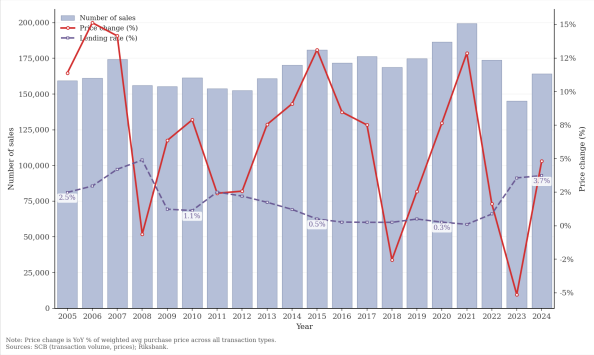
1 SEK in Million

Investment Case

From toll booth to conditional revenue

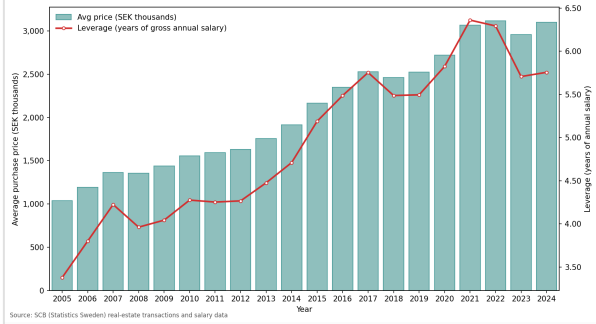
The recent decision to offer a Sell First, Pay Later option comes with meaningful implications for Hemnet as it intends to combate rising pre-market importance. Historically, Hemnet has driven revenue by monetizing seller demand for visibility through tiered value-added listing packages. SFPL introduces increased conditionality into this model, making revenue realization significantly more dependent on transaction completion and by extension, macro cycles. While potentially protecting long-term platform relevance, we see it reducing earnings predictability and distorting cash flow timing. Importantly, the level of high volume transactions we saw around the COVID era - supported by low rates - are unlikely to recur, underscoring the risk involved in shifting their monetization framework. A recent policy shift (implementation April 1st 2026) allowing LTV to rise from 85% to 90% may marginally assist some first-time buyers, but elevated leverage and affordability pressure should keep the broader impact muted. The charts below illustrate how Swedish transaction volumes have historically tracked macro cycles, with rising household leverage amplifying volume sensitivity. This dynamic underscores why revenue conditionality under Sell First, Pay Later materially increases downside exposure in a normalized rate environment where high leverage is present.

SWEDISH TRANSACTION CADENCE



Volume has yet to reclaim the 2016-2019 run-rate while price change is resetting alongside higher funding costs.

PRICE VS HOUSEHOLD LEVERAGE



Average purchase prices climbed to ~SEK 3.0m while leverage now demands >~6x gross annual salary, stressing incremental buyers.

ARPL expansion invites competition

As additional premium tiers are introduced to drive ARPL, higher perceived pricing is likely to accelerate fragmentation in user search and listing behavior. Hemnet's current ~90% market share stands above international peers, with Scout24 (~70% in Germany), Rightmove (~80% in the UK), and REA Group (~60% in Australia) all operating at meaningfully lower levels of domestic penetration. Notably, despite their dominant positions, Scout24 and REA Group are actively pursuing acquisitions to increase their footprints beyond domestic markets. Hemnet is already facing early competitive pressure from Booli and Boneo reflected by their complaints with the Swedish Competition Authority, further signaling anxiety about its competitive position.

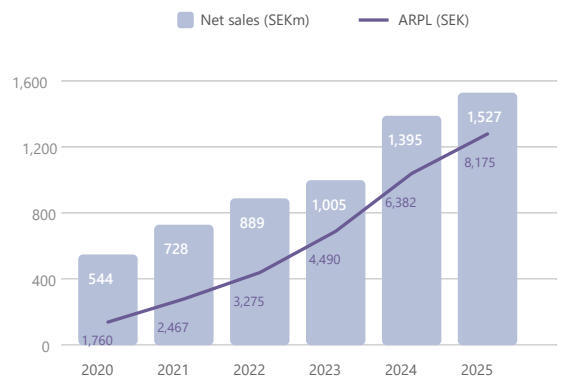
Against this backdrop, together with structural headwinds discussed above, we assume Hemnet's market share normalizes toward a ~70% range over the mid term, implying a decline of at least 20 percentage points from its current ~90% level.

Strong Cash Compounder

There is no denying that Hement is a strong high margin cash compounder, underpinned by pricing power, a capital-light platform model, and meaningful operating leverage. The company has consistently demonstrated an ability to grow revenue through ARPL expansion and value-added listing packages, even during periods of declining transaction volumes. This has translated into high EBITDA margins, strong free cash-flow conversion, and limited reinvestment requirements, resulting in a business with exceptional capital efficiency. As such, Hemnet enters its current phase from a position of financial strength, with a highly profitable core model and substantial cash-generation capacity.

NET SALES & ARPL (2020-2025)

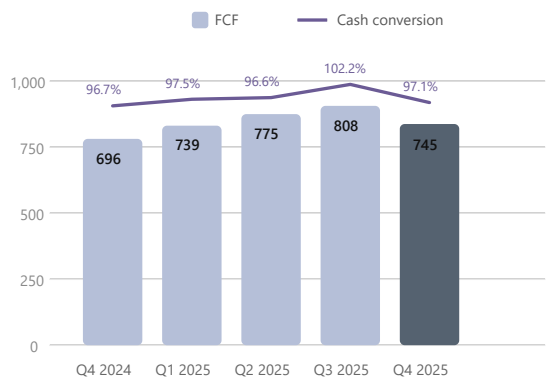
ARPL growth has offset weak listing volumes, pushing average revenue per listing to record highs even as the top line moderates.



Source: Company filings

LTM FCF & CASH CONVERSION

Free cash flow remains resilient, with conversion consistently near or above 95%.



Source: Company filings

Forecast & Assumptions

Fiscal Period	2023	2024	2025	2026 (E)	2027 (E)	2028 (E)	2029 (E)	2030 (E)
Apprx. Market Share	90.0%	90.0%	90.0%	85.0%	80.0%	75.0%	70.0%	70.0%
ARPL	4,490	6,382	8,175	9,000	9,000	9,500	9,500	10,000
# Completed Transactions (SCB)	145,290	164,080	155,000	150,000	155,000	160,000	165,000	160,000
# of Hemnet Listings (Hemnet)	173,766	185,336	160,656	153,000	148,800	144,000	138,600	134,400
Listing Revenue	780.2	1,182.8	1,313.4	1,377.0	1,339.2	1,368.0	1,316.7	1,344.0
Other Revenue	224.8	212.2	213.6	275.4	267.8	273.6	263.3	268.8
Total Revenue	1,005.0	1,395.0	1,527.0	1,652.4	1,607.0	1,641.6	1,580.0	1,612.8
EBITDA	525.5	719.8	767.5	826.2	803.5	820.8	790.0	806.4
EBITDA Margin	52.3%	51.6%	50.3%	50.0%	50.0%	50.0%	50.0%	50.0%
Cash Conversion %	91.8%	96.7%	97.1%	95.0%	95.0%	95.0%	95.0%	95.0%
Free Cash Flow	482.4	696.0	745.2	784.9	763.3	779.8	750.5	766.1

Revenue, EBITDA, and free cash flow in SEK millions; ARPL in SEK. Reverse engineering of listing vs. other revenue based on published transactions and ARPL did not achieve perfect alignment, but differences are immaterial and assumptions remain valid.

- Market Share: Hemnet’s market share is assumed to normalize gradually from ~90% in the near term to ~70% by 2030 (more in line with peers), reflecting increased competitive intensity, changing consumer behavior, while maintaining clear market leadership.
- Transaction Volumes: Completed housing transactions are assumed to stabilize at ~150–165k annually over the forecast period, in line with long-term historical averages and below the exceptional COVID-era activity levels.
- Average Revenue per Listing (ARPL): ARPL is forecast to increase from SEK ~4,500 in 2023 to SEK ~10,000 by 2030, driven by higher penetration and mix of value-added listing packages, partially offsetting lower listing volumes over time.
- Revenue Mix: Listing revenue remains the primary revenue driver, while other revenue streams (marketing and ancillary services) grow modestly and remain a secondary contributor.
- Profitability: EBITDA margins are assumed to normalize at ~50%, reflecting Hemnet’s asset-light platform model, disciplined cost structure, and increased investment to defend platform relevance.
- Cash Conversion & Free Cash Flow: Free cash flow conversion is assumed at ~95% of EBITDA in steady state, consistent with Hemnet’s historical performance, with Sell First, Pay Later affecting cash-flow timing rather than long-term cash generation.
- Capital Intensity: Capital expenditure is assumed to remain low at ~1–1.5% of revenue, consistent with Hemnet’s platform-based business model with high operating leverage.

Valuation

We value Hemnet using a discounted cash flow (DCF), with an explicit forecast period from 2026E through 2030E followed by a terminal value calculation. The introduction of Sell First, Pay Later materially increases revenue conditionality and cash-flow timing risk, as monetization becomes more dependent on transaction completion rather than listing initiation. This shift, combined with anticipated market share erosion and a maturing high-penetration business model, justifies a more conservative valuation framework than Hemnet's historical premium multiples would suggest.

We apply a WACC of 8.0%, reflecting heightened business risk from SFPL-driven cyclicality and competitive pressure, alongside a terminal growth rate of 1.25%. Modestly below long-term Swedish GDP growth to account for structural headwinds including market share normalization toward peer levels (~70%) and limited incremental pricing runway beyond 2030 as leverage and cost of living pressures persist. The explicit forecast period captures near-term ARPL expansion and gradual volume normalization, while the terminal value assumes Hemnet maintains a defensible but no longer dominant position in a more fragmented listing marketplace.

WACC Assumptions (Base Case)

Component	Assumption	Rationale
Risk-free rate	2.75%	Normalized long-term Swedish government bond yield
Equity risk premium	5.75%	In line with European market ERP ranges
Implied beta	0.9–1.0x	Adjusted upward to reflect higher earnings cyclicality and cash-flow conditionality following Sell First, Pay Later
Cost of equity	~8.0%	Reflects increased operational and cash-flow risk in a maturing, high-penetration marketplace
Cost of debt (post-tax)	~2.5%	Low given strong cash generation; limited impact due to modest leverage
Target capital structure	Predominantly equity-funded	Asset-light business model with limited reliance on debt
WACC	**8.0%**	**Applied consistently across explicit forecast and terminal period**

Given Hemnet's asset-light business model and limited leverage, WACC is driven primarily by the cost of equity rather than capital structure assumptions.

The present value of explicit-period cash flows (2026E–2030E) totals approximately SEK 3.07bn, calculated as the sum of discounted annual FCFF (2026E: SEK 727m; 2027E: SEK 654m; 2028E: SEK 618m; 2029E: SEK 552m; 2030E: SEK 521m). Terminal value at end-2030 equals approximately SEK 11.5bn, with a present value of SEK 7.83bn. Enterprise value therefore sums to approximately SEK 10.9bn.

We assume a neutral net cash position when bridging enterprise value to equity value, resulting in an equity value of approximately SEK 10.9bn and a 12-month target price of **SEK 115 per share** (94.5m shares outstanding), representing approximately 11% downside from current price and 46% below average consensus price of SEK 215 per share.

DCF Valuation Summary

Component	Value
PV of explicit FCFF (2026E–2030E)	SEK 3.07bn
PV of terminal value	SEK 7.85bn
Enterprise value	**SEK 10.9bn**
Equity value / Target price	**SEK 115 / share**

Key Assumptions

Parameter	Rate
WACC	8.0%
Terminal growth rate	1.25%
Explicit forecast period	2026E–2030E

Sensitivity Analysis

Valuation exhibits high sensitivity to WACC and terminal growth assumptions across a wide range of plausible scenarios. Each 50bp change in WACC shifts target price by approximately **±SEK 7-10 per share**, while each 25bp change in terminal growth impacts valuation by **±SEK 3-4 per share**. Our base case target of **SEK 115 per share** (WACC 8.0%, g 1.25%) reflects conservative assumptions anchored to elevated post-SFPL cyclicality, market share normalization, and limited long-term pricing power.

Upside scenarios require a combination of lower cost of capital and structurally higher growth, or a sustained structural lift from Sell First, Pay Later that meaningfully increases listing volumes and defends market share. In our sensitivity framework, target prices above SEK 130 are only achieved under bull-case assumptions (WACC ≤7.5%, g ≥1.5%), which imply simultaneous normalization of Swedish interest rates, sustained market share, and durable pricing power. Outcomes we view as increasingly unlikely given competitive pressure, platform maturity, macro headwinds and revenue conditionality under Sell First, Pay Later.

Conversely, downside scenarios (WACC ≥8.5%, g ≤1.0%) reflect realistic risks of normalized interest rates, market share deterioration, and higher cash-flow volatility, which underpin our **SELL** recommendation.

Target Price Sensitivity (SEK/share)

WACC / Terminal Growth	g = 0.75%	g = 1.0%	g = 1.25%	g = 1.5%	g = 1.75%
WACC = 7.0%	127	131	135	140	145
WACC = 7.5%	117	121	124	128	133
WACC = 8.0%	109	112	**115**	119	122
WACC = 8.5%	102	105	107	110	113
WACC = 9.0%	96	98	101	103	106

Legend: ■ Strong upside (>135) | ■ Moderate upside (120-135) | ■ Slight upside (115-120) | **Base case (115)** | ■ Slight downside (105-115) | ■ Moderate downside (95-105) | ■ Material downside (<95) < div>

Disclosure

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